

BEFORE THE FEDERAL MARITIME COMMISSION

FALCONE GLOBAL SOLUTIONS, LLC,

Complainant,

v.

FMC DOCKET NO. 18-04

MAURICE WARD NETWORKS, LTD.
d/b/a MAURICE WARD GROUP;
MAURICE WARD & CO., BV.; and
MAURICE WARD & CO. S.R.O.,

Respondents.

**COMPLAINANT'S RESPONSE TO RESPONDENTS' MOTION FOR MORE
DEFINITE STATEMENT**

Complainant Falcone Global Solutions, LLC ("Falcone") responds to the Motion for More Definite Statement of Respondents ("Motion"), showing:

Introduction

Respondents' Motion should be denied because it fails to point to any ambiguity or unintelligible allegations in the Verified Complaint ("Complaint"). Rather, the Motion is a thinly veiled attempt to argue the merits and make wholly unsupported factual allegations outside the scope of the Complaint—allegations that Falcone strongly denies and will disprove. But it is premature for the parties to argue the case on the merits at this initial phase.

The Complaint satisfies the pleading requirements of 46 C.F.R. § 502.67, and provides sufficient notice to each named Respondent of the acts alleged to be violations of the Shipping Act. The Complaint sets forth with specificity how Respondents, directly or indirectly, participated to alter Bills of Lading and wrongfully seize Falcone's containers during shipment, to extort payment from Falcone for incorrect and disputed invoices. While the Motion argues that Respondents are separate corporate entities that operate independently of one another, they hold

themselves out to the world (including their customers), as evidenced by their website public persona, as related branches of one umbrella organization called Maurice Ward Group. These branches all operate under one FMC license held by Respondent Maurice Ward & Co., S.R.O., which allows them to book freight to be imported and exported to and from the United States for customers such as Falcone. If Respondents wish to argue that one of more of the named branches did not participate in the underlying acts at issue, the parties can conduct discovery and present their arguments to this tribunal at the appropriate time. However, Respondents have not shown that the initial Complaint requires a more definite statement, and therefore the Motion should be denied.

Argument

A. The Complaint Complies with FMC Pleading Requirements and is Not Vague or Ambiguous.

Under 46 C.F.R. § 502.67, a motion for more definite statement may only be granted when a complaint “is so vague or ambiguous that a party cannot reasonably prepare a response.” The FMC rule is identical to Rule 12(e) of the Federal Rules of Civil Procedure, and therefore case law interpreting Rule 12(e) is instructive. *See* 46 C.F.R. § 502.12.

A proper motion for more definite statement “contemplates a major ambiguity or omission in a complaint which renders it unanswerable.” *United Ins. Co. of America v. B.W. Rudy, Inc.*, 42 F.R.D. 398, 403 (E.D. Pa. 1967). The basis for requiring a more definite statement is “unintelligibility, not mere lack of detail.” *Thorp v. District of Columbia*, 309 F.R.D. 88, 90 (D.D.C. 2015). In its initial pleading, the Complainant “need not allege all the facts necessary to prove its claim so long as [Complainant] provides enough factual information to make clear the substance of that claim.” *Id.*

Respondents do not argue that the Complaint is unintelligible or is so vague as to be unanswerable. Rather, they point to an alleged “lack of specificity in the Complaint” and ask the ALJ to require Falcone to “describe with specificity [Maurice Ward & Co., S.R.O.’s] role/interactions with other Respondents vis-à-vis the transactions.” (Motion, at 2, 5). However, as explained by the Supreme Court, “the Federal Rules of Civil Procedure do not require a claimant to set out in detail the facts upon which he bases his claim.” *Conley v. Gibson*, 355 U.S. 41, 47 (1957). Rather, “all the Rules require is a ‘short and plain statement of the claim’ that will give the defendant fair notice of what the plaintiff’s claim is and the grounds upon which it rests.” *Id.* This “notice pleading” standard is “made possible by the liberal opportunity for discovery and the other pretrial procedures established by the Rules to disclose more precisely the basis of both claim and defense and to define more narrowly the disputed facts and issues.” *Id.* at 47-48.

Because only notice pleading is required, “motions for a more definite statement are generally denied.” *Pucci v. USAir*, 940 F. Supp. 305, 310 (M.D. Fla. 1996). *See also Potts v. Howard Univ.*, 269 F.R.D. 40, 44 (D.D.C. 2010) (motions for a more definite statement are “disfavored for their dilatory effect on the progress of litigation”); *Royal Shell Vacations, Inc. v. Scheyndel*, 233 F.R.D. 629, 630 (M.D. Fla. 2005) (“Most Courts disfavor the use of Rule 12(e) because it is often used to delay the proceedings.”).

The FMC’s rules of practice and procedure adopt a similar “notice pleading” standard, requiring (1) a “clear and concise factual statement” sufficient to inform Respondents with “reasonable definiteness of the acts or practices alleged to be in violation of the law;” (2) a basis

for jurisdiction; (3) a request for relief; and (4) the alleged violations of the Shipping Act.¹ *See* 46 C.F.R. § 502.62(3). Falcone's Complaint more than satisfies these notice pleading requirements.

A complaint provides notice to Respondents of the allegations made against them. The Complaint here provides sufficient notice of the claims asserted against each Respondent, besides meeting the FMC's specific pleading requirements. Nothing is vague or unintelligible that prevents Respondents from answering the Complaint, and Respondents' request for a more definite statement is without merit.

B. Respondents' Motion is a Premature Attempt to Seek Discovery and Argue the Case on the Merits.

It is well settled that a "motion for a more definite statement should not be used as a means of discovery." *Pucci*, 940 F. Supp. at 310. If Respondents seek additional information about Falcone's claims under the Shipping Act, and specifically on claims against Respondent Maurice Ward & Co., S.R.O., "discovery is the proper and more efficient means to achieve [that] end." *Potts*, 269 F.R.D. at 44 (denying motion for more definite statement where "plaintiff has complied with the liberal pleading standards and because discovery will elucidate the plaintiff's claim"). *See Pucci*, 940 F. Supp. at 310 (defendant complaining of lack of detail in plaintiff's complaint "may obtain the information it needs through discovery"); *Shafir v. Wabash R. Co.*, 7 F.R.D. 467, 468 (W.D. Mo. 1947) (motion for more definite statement properly denied where it "simply seeks information" because "the rules of discovery are available to elicit details").

Respondents understand the nature and substance of the claims because they devote the majority of their brief to arguing the merits. The gravamen is not that the Complaint is vague or

¹ Compare FED. R. CIV. P. 8(a), requiring (1) "a short and plain statement of the grounds for the court's jurisdiction;" (2) "a short and plain statement of the claim showing that the pleader is entitled to relief;" and (3) "a demand for the relief sought."

unanswerable, but that named Respondent Maurice Ward & Co., S.R.O. did not participate in the acts alleged—a claim Falcone strongly disputes. But Respondents may seek additional information in discovery regarding the specifics of Falcone’s claims, including Maurice Ward & Co., S.R.O.

Falcone is also entitled to discovery on the extent to which each Respondent participated in the underlying conduct. In the Complaint, Respondents are all members of Maurice Ward Group, a collection of member partners throughout Europe that provide global freight forwarding and logistics services for its customers, including Falcone. (Verified Complaint ¶ 6). Although Respondents’ Motion attempts to characterize each named Respondent as a separate and independently-operated entity, Maurice Ward Group holds itself out to be one “global provider of services” with “facilities” or “branches” throughout Europe.² Respondent Maurice Ward & Co., S.R.O. is the Czech Republic “branch” for Maurice Ward Group, and the central office for Maurice Ward Logistics.³ (Verified Complaint ¶ 6).

Maurice Ward & Co., S.R.O. is the named licensee with the FMC as a foreign-based NVOCC. (Verified Complaint ¶ 2). Falcone is informed and believes that it is through Maurice Ward & Co., S.R.O.’s FMC license and bond that the other Maurice Ward Group branches, including the other named Respondents, can book freight for shipment to the United States for U.S.-based customers such as Falcone. All billing disputes, such as the invoice dispute between the parties, are handled through the central office of Maurice Ward & Co., S.R.O. in the Czech Republic.

² See <https://www.mauriceward.com/en/company-statement>;
<https://mauricewardlogistics.com/about-us/who-are-we/?lang=en>.

³ See <https://mauricewardlogistics.com/contact/?lang=en>.

Issues of fact regarding the extent to which each named Respondent participated in the underlying conduct alleged can be explored in discovery. It is sufficient that the Complaint provides each Respondent notice of the substance of the claim and alleged violations of the Shipping Act to support this tribunal's denial of Respondents' Motion. While Falcone is confident it will ultimately prevail on the merits of its claim, it need not set forth all facts that prove its claim in the Complaint. *See Thorp*, 309 F.R.D. at 90.

Ultimately, whether the named Respondents engaged in conduct in violation of the Shipping Act is an issue of fact and law to be determined by the ALJ once the parties have conducted discovery and presented their case on the merits. If Respondent Maurice Ward & Co., S.R.O. denies any liability for the violations of the Shipping Act, it can make this argument in a dispositive motion or at a hearing. But it is not proper for the Respondents to argue the merits in a motion for more definite statement.

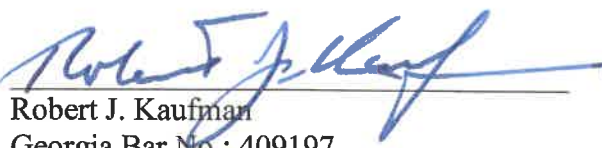
Conclusion

Falcone respectfully requests that the Administrative Law Judge deny the Motion for More Definite Statement, and order Respondents to answer the Complaint without further delay.

Respectfully submitted, this 19th day of July, 2018.

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CERTIFICATE OF COMPLIANCE

The undersigned counsel certifies pursuant to 46 C.F.R. § 502.2(f)(3) that this electronic copy is a true and correct copy of the paper original, and that the paper signed original and five (5) copies are being filed with the Secretary of the Commission. The undersigned counsel further certifies that a copy of the foregoing Response to Motion for More Definite Statement has been served upon all parties of record via electronic mail.

This the 19th day of July, 2018.


Robert J. Kaufman
Attorney for Complainant Falcone Global
Solutions, LLC